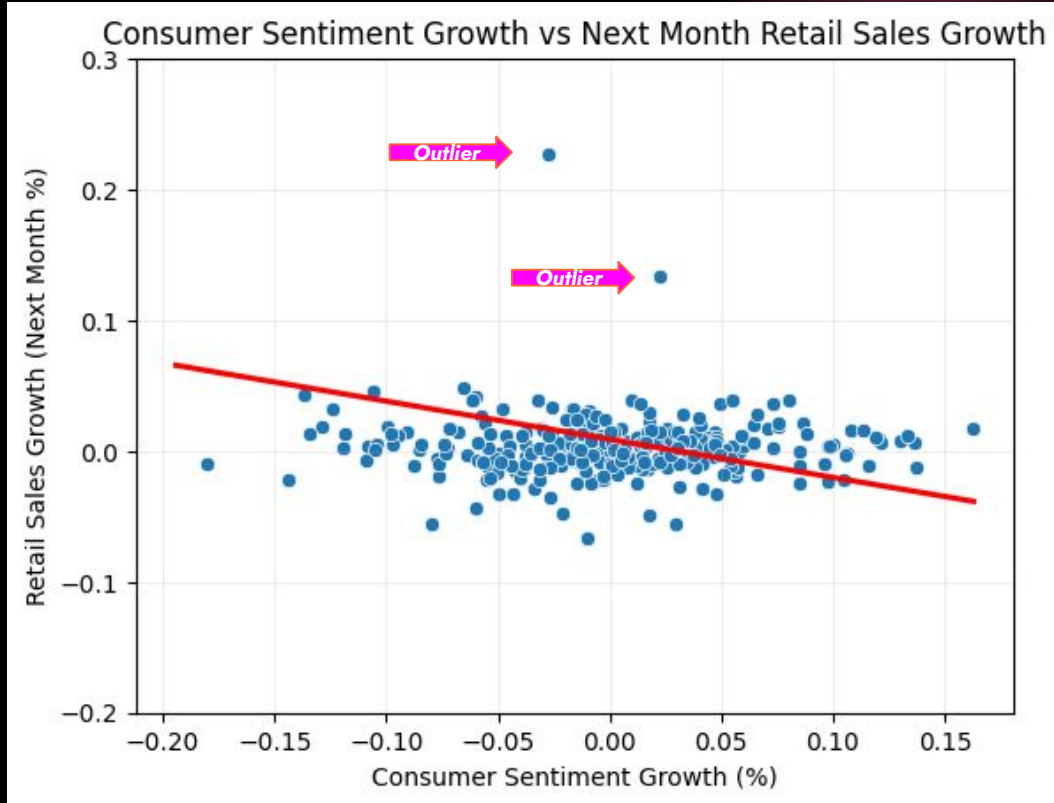


Research Question: Is consumer sentiment associated with subsequent changes in U.S. consumer apparel spending, as measured by retail sales?

Addison Morgello & Colyn Striech

Statistical Model: $g\text{Next Month Retail Sales} = \beta_0 + \beta_1 g\text{Consumer Sentiment} + \varepsilon$

Regression Equation: Retail Sales = 0.0091 - 0.2916 * Sentiment Growth



For every 1% increase in consumer sentiment growth is associated with about a 0.29% decrease in next month's retail sales growth.

→ Conclusion: The results show the relationship statistically significant, however, still extremely weak. Consumer sentiment only has a small effect on retail growth, suggesting other factors play a role in the variation of retail sales.

OLS ASSUMPTIONS:

- Time-based data
 - Some standard assumptions still may not be perfectly met
 - Interpret significance w/ caution